FOURTH SEMESTER

MID-SEMESTER EXAMINATION March-2019

# CHU 202: ENGINEERING ECONOMICS

*Time: 1 Hour 30 Minutes* *Max. Marks : 25*

**Note :** All questions are compulsory.

**Q1. Select the correct answer from the given options:** [1x5=5]

i) Which of these is not a central problem of an economy?
   (a) what to produce
   (b) how to produce
   (c) how to maximize private profit
   (d) for whom to produce

ii) What would shift the market demand curve for digital televisions to the right?
   (a) an improvement in manufacturing processes reducing costs
   (b) an increase in the tax levied on digital televisions
   (c) successful advertising campaign by suppliers
   (d) increased unemployment leading to lower incomes

iii. Law of demand shows the relationship between:
   (a) income and price of commodity
   (b) price and quantity demanded of a commodity
   (c) income and quantity demanded
   (d) quantity demanded and quantity supplied

iv. Which of the following is not the property of indifference curve?
   (a) IC is Convex to origin
   (b) Two IC can cut each other
   (c) Higher IC means higher satisfaction
   (d) IC is downward sloping left to right

v. The price elasticity of demand is a negative number this means:
   a) Demand is price elastic
   b) Demand is price inelastic
   c) The demand curve is downward sloping
   d) An increase in income will reduce the quantity demanded

**Q2. Write short note on any *four* of the following:** [2x4=8]

a) Marginal utility
b) Price elasticity of demand
c) Budget line
d) Law of variable proportions
e) Production possibility curve
f) Substitute goods
g) Scope of economics in engineering

**Q3.** When the price of a commodity falls from Rs. 20 per unit to Rs 16 per unit, its quantity demanded rises from 1000 units to 1160 units. Calculate and comment on the commodity's price elasticity of demand. [3]

**Q5.** Explain the law of diminishing marginal utility along with its assumptions. (Use diagram) [3]

**Q6.** Explain consumers' equilibrium through ordinal analysis. [3]

**Q7.** What are the differences between shifting of demand curve and movement along demand curve? [3]